

WELCOME BACK TO MONEY BASICS

Facilitated by:
[Facilitator 1 name]
[Facilitator 2 name]



Creating a Budget; Resources to Save Money

Workshop 3

PG. 40 IN STUDENT GUIDE

Welcome Back!

Updates & Sharing:

1. How did the money saving homework go?
2. How did creating a list of monthly expenses go?

Today's Agenda:

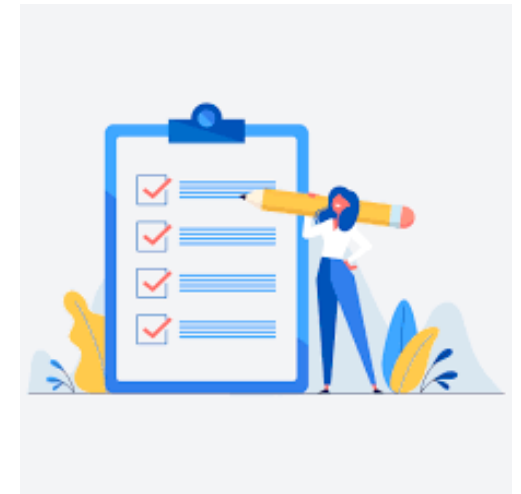
3. Review your PDP worksheets from last class.
4. Learn about the different types of expenses (fixed, variable, non-monthly, unexpected).
5. Follow the steps for creating a personalized, working budget:
 - a. Gather all sources of income and all monthly expenses
 - b. Separate expenses into needs vs wants
 - c. Fill out a basic budget worksheet
 - d. Identify expenses to cut back
6. Learn about different national, state, and local money saving resources and how to access them.

Community Agreements

Learning Objectives

Upon conclusion of Workshop 3, participants will:

1. Understand the definitions of fixed expenses, variable expenses, non-monthly expenses, and unexpected expenses.
2. Understand the differences between needs and wants and create their own working list
3. Create a usable budget and commit to working with it for a week
4. Identify areas in their budgets in which they need to adjust their spending and make a plan to do so
5. Have learned at least three new resources in the community for saving money



Budgeting Basics

A budget is a list of income and expenses and is a way to keep track of spending and help you save money

- Important tool for financial success

The Different Types of Expenses:

- Fixed Expenses
- Variable Expenses
- Non-monthly Expenses
- Unexpected Expenses



Examples of non-monthly Expenses

Fixed Non-Monthly Expenses	Variable Non-Monthly Expenses
- Property taxes - AAA; Car registration renewal and tabs - Home/ renters insurance - Life insurance - Disability insurance - Car insurance - Prescription medications - Child care - Tuition costs, school fees - Bank or credit card fees	- Living space maintenance or repair - Car maintenance (new tires, oil change)/repair - Trash service - Water bill - Firewood or propane - Dental or eye care - Emergency Room visit -Books, school supplies -After-school programs, field trips -Vacation, gifts, entertainment

Reasons to Create a Budget:

- See more clearly where your money goes
- Save money towards a particular goal
- Give you peace of mind about your finances
- Put you in control of your finances
- Reduce stress over unpaid or late bills
- Pay off debts
- Realize your full financial potential



Activity

Archie is spending more than he is earning.

Help him get back on track by identifying which expenses he should cut and which he should keep.



Archie Andrews			
Monthly Income:		Monthly Expenses:	
Paycheck (after taxes)	\$2100	Rent	\$800
Other Income:		Electric	\$95
Tax return (March)	\$600	Cable (with HBO & Showtime)	\$120
Christmas bonus (December)	\$150	Cell phone	\$77
Birthday money (October)	\$100	Credit card (minimum)	\$95
Overtime	\$320	Landline phone	\$60
Total Annual Income:	\$26, 370	Car insurance	\$90
Non-monthly Expenses:		High speed Internet	\$48
Dog groomer (6 times a year)	\$360	Car loan	\$190
Annual trip to the beach	\$860	Groceries	\$120
Heat in winter	\$420	Pet food & supplies	\$30
Total:	\$1640	Dining out:	\$140
Archie has one dog and lives alone in a two-bedroom apartment. He works full time, picking up a two overtime shifts a year. He owes \$3960 on his credit card and \$4390 on his car loan.		New clothes	\$60
		Household goods	\$60
		Toiletries	\$70
		Starbucks	\$95
		Gas for car	\$60
		Barber	\$20
		Total:	\$2230

Steps to Create a Personalized Budget

Step 1: Income

Gather every source of income you have coming in each month.

For example:

Source:	Monthly Income:
Paycheck	\$ 1500
SSI/SSDI	\$ 600
Yard work for neighbor	\$ 100
Pet sitting	\$ 50
Total:	\$ 2,250

Steps to Create a Personalized Budget (continued)

Step 2: Regular expenses

Gather all of your regular expenses.

Type:	Amount:
Monthly rent payment	\$ 700
Utilities	\$ 100
Car loan	\$ 100
Credit card loan	\$ 50
Total:	\$ 950

Step 3: Monthly expenses

Gather all of your monthly expenses.

Type:	Amount:
Groceries	\$ 300
Bus fare or gas	\$ 75
Prescription medicine	\$ 50
Dog food and supplies	\$ 20
Eating out	\$ 75
Household goods	\$ 100
Total	\$ 620

Steps to Create a Personalized Budget (continued)

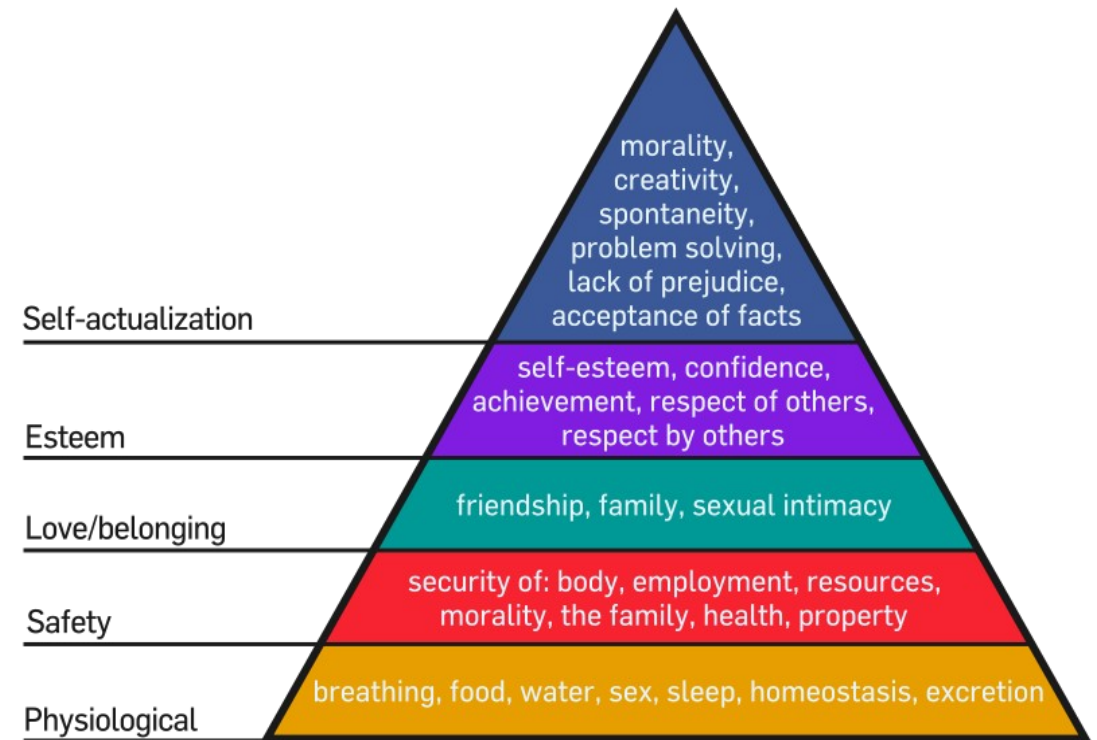
Step 4: Needs vs. Wants

Separate your list of expenses into needs and wants. Identify possible areas to cut.

Step 5: Fill out your budget

Enter your income and expenses into the budgeting worksheet in your Student Guide.

See if you have any money left over after bills and other expenses are paid. If not, brainstorm areas to cut.



Resources for Saving Money

Federal & state resources:

- SNAP
- SSI/SSDI
- Medicare & Medicaid
- VA Benefits
- Individual Development Accounts
- Medication Assistance
- Reduced bus fare
- Reduced Internet costs
- Free or reduced clinics

Local & community resources:

- Mutual aid funds
- Free food pantries
- Farmer's markets
- Clothing swaps
- Buy Nothing Project
- Library books/movies
- Community Credit Unions
- Second-hand stores

Discussion

What are some additional resources you have used or know of that can help people save money?



Wrap-Up

1. Thank you all for your participation today!
2. Are there any questions?
3. **Homework:**
 - a. Choose **one more** money saving idea and commit to it for the week. Keep track of which ideas are going well and which are not.
 - b. Commit to using your **personalized budget** for the next week.
 - c. Find **one community resource** that could help save money and be prepared to share it next class.

